# Central Depository Services (India) Ltd

**NSE: CDSL | BSE: 532461 | Sector: Capital Markets / Financial Infrastructure | Founded: 1999 | HQ: Mumbai**
**CMP: Rs.1,185 | 52W H/L: Rs.1,829/Rs.1,080 | Mkt Cap: Rs.24,000 Cr | P/E: ~45x | Div Yield: 1.1%**

CDSL
Convenient • Dependable • Secure

Incorporated in 1997, Central Depository Services (India) is a Depository registered with SEBI. CDSL was set up with the objective of providing convenient, dependable and secure depository services at affordable cost to all market participants. A depository facilitates holding of securities in electronic form and enables securities transactions to be processed by book entry by a DP. The depository's business lines cater to a diverse group of customers such as Depository Participants (DPs), Issuers, Registrar & Transfer Agents (RTAs), Clearing Members (CMs), Clearing Corporations (CCs). The company serves customers across all of India.

## Investment Thesis & Rating

- Monopoly-like positioning: ~80% of India's 15.9 Cr+ demat accounts reside at CDSL; network effects create a near-impregnable moat in depository services.
- Structural growth driver: India's demat account penetration is ~11% of population; every new investor must open a demat account, providing annuity-like recurring revenue.
- Capital-light, high-margin business: EBITDA margin consistently 55-65%; zero debt with Rs.159 Cr+ cash. ROE ~30%+ and ROCE ~40%.
- Revenue diversification: KYC services (CDSL Ventures), insurance repository, and new data/analytics offerings reduce dependence on transaction-linked income.
- Regulatory tailwind: SEBI's push for T+0 settlement, mandatory demat for insurance policies, and digital KYC expand CDSL's addressable market.

## Analysts Rating

**BUY**

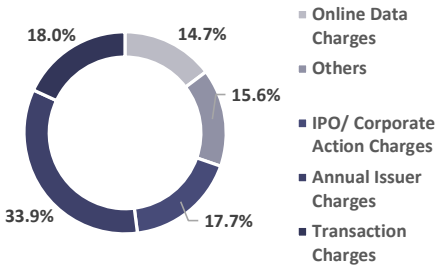
**Target : ₹ 1,480**

*Note: Target derived from consensus estimates.*

## Business Model & Revenue Drivers

- Annual Issuer Charges (35% of rev): Fees from companies for maintaining securities in electronic form. Recurring, stable revenue stream linked to number of listed securities.
- Transaction Charges (25% of rev): Per-transaction fees for delivery-based trades; linked to market volumes. Higher in bull markets but structurally growing with participation.
- Online Data Charges (15% of rev): KYC verification fees (via CDSL Ventures), e-CAS statements, and data analytics services. Fastest-growing segment.
- IPO/Corporate Action Charges (10% of rev): Fees for processing IPO allotments, bonus issues, rights issues, and other corporate actions.
- Other Services (15% of rev): Insurance repository, commodity repository, e-voting, academic depository, and warehouse receipts. Diversification play.

## Verticals




## Industry Landscape & Competitive Advantage

- Duopoly industry: Only two depositories in India — CDSL and NSDL. CDSL leads retail with ~80% demat accounts, while NSDL dominates institutions.
- Strong growth: Demat accounts rose from 4 Cr (FY20) to 15.9 Cr (FY25) (~32% CAGR); penetration still low at ~11%, indicating runway.
- Regulated framework: SEBI oversight ensures similar fee structures; NSDL is the main competitor, while BSE holds ~15% stake in CDSL.
- High entry barriers: Regulatory licensing makes new entrants unlikely.
- Key advantages: Large retail base, lower cost structure, tech leadership (T+0 settlement), and diversified subsidiaries.

## Peer Valuation Snapshot

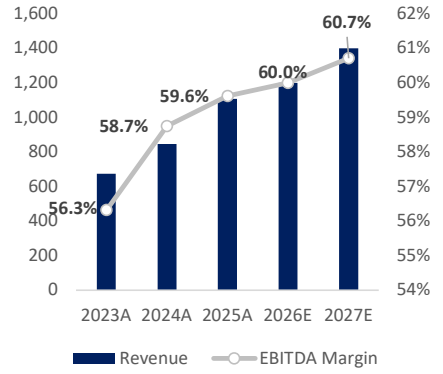
| Metric | CDSL | NSDL | BSE Ltd. |
|---|---|---|---|
| M.Cap | Rs.24K Cr | Unlisted | Rs.12K Cr |
| P/E | ~45x | N/A | ~25x |
| EBITDA % | ~60% | ~55% | ~42% |
| Revenue Gr. | 31% | ~20% | ~15% |

## Financial Summary & Forward Estimates

| Financial Performance (In Crs) | 2023A | 2024A | 2025A | 2026E | 2027E |
|---|---|---|---|---|---|
| Revenue | ₹ 673 | ₹ 846 | ₹ 1,107 | ₹ 1,200 | ₹ 1,400 |
| EBITDA | ₹ 379 | ₹ 497 | ₹ 660 | ₹ 720 | ₹ 850 |
| Net Profit | ₹ 282 | ₹ 367 | ₹ 476 | ₹ 525 | ₹ 620 |
| EBITDA Margin | 56.3% | 58.7% | 59.6% | 60.0% | 60.7% |
| Net Profit Margin | 41.9% | 43.4% | 43.0% | 43.8% | 44.3% |
| Revenue Growth | 14% | 26% | 31% | 8% | 17% |
| EPS | ₹ 27.00 | ₹ 35.10 | ₹ 45.50 | ₹ 50.20 | ₹ 59.30 |

*Note:*
*1. FY26E impacted by lower market volumes in H1.*
*2. Forward estimates reflect consensus.*

## Revenue with EBITDA Margin

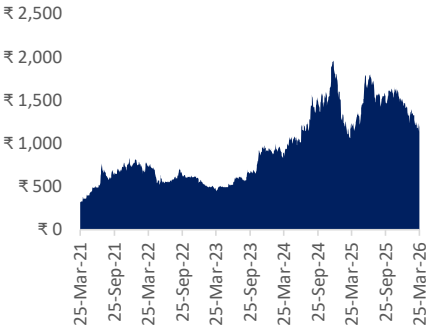



## Key Catalysts & Risks

### Key Catalysts

- Demat account additions continue at 3-4 Cr/year; each new account = recurring annual revenue
- T+0 settlement rollout expands transaction volumes
- Mandatory demat for insurance policies: new TAM
- Data monetization & analytics offerings scaling up

### Key Risks

- Revenue linked to market activity; prolonged bear market reduces transaction income
- SEBI fee regulation could cap pricing power
- NSDL IPO could increase competition for institutional clients
- Technology/cybersecurity risk: 2023 breach incident

## Stock Price - 5 Years